

**SUBSTITUTE FOR
HOUSE BILL NO. 5343**

A bill to amend 1998 PA 58, entitled
"Michigan liquor control code of 1998,"
by amending section 109 (MCL 436.1109), as amended by 2021 PA 19.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 109. (1) "Manufacture" means to distill, rectify,
2 ferment, brew, make, produce, filter, mix, concoct, process, or
3 blend an alcoholic liquor or to complete a portion of 1 or more of
4 these activities. Manufacture does not include bottling or the
5 mixing or other preparation of drinks for serving by those persons
6 authorized under this act to serve alcoholic liquor for consumption
7 on the licensed premises. In addition, manufacture does not include
8 attaching a label to a shiner. All containers or packages of
9 alcoholic liquor must state clearly the name, city, and state of



1 the bottler.

2 (2) "Manufacturer" means, except as provided in section 603, a
3 person that manufactures alcoholic liquor, whether located in or
4 out of this state, including, but not limited to, a distiller, a
5 small distiller, a rectifier, a mixed spirit drink manufacturer, a
6 mixed wine drink manufacturer, a wine maker, a small wine maker, a
7 brewer, and a micro brewer.

8 (3) "Manufacturing premises" means the licensed premises of a
9 manufacturer where the manufacturer manufactures alcoholic liquor
10 or, for a small wine maker only, bottles wine.

11 (4) "Master distributor" means, except as provided in section
12 307, a wholesaler that acts in the same or similar capacity as a
13 brewer, wine maker, mixed spirit drink manufacturer, outstate
14 seller of wine, outstate seller of beer, or outstate seller of
15 mixed spirit drink for a brand or brands of beer, wine, or mixed
16 spirit drink to other wholesalers on a regular basis in the normal
17 course of business.

18 (5) "Micro brewer" means a brewer that manufactures in total
19 less than 60,000 barrels of beer per year and that may sell the
20 beer manufactured to consumers at the licensed brewery premises for
21 consumption on or off the licensed brewery premises and to
22 retailers as provided in section 203a. In determining the 60,000-
23 barrel threshold, all brands and labels of a brewer, whether
24 manufactured in this state or outside this state, must be combined
25 and all facilities for the manufacturing of beer that are owned or
26 controlled by the same person must be treated as a single facility.

27 (6) "Minor" means an individual less than 21 years of age.

28 (7) "Mixed spirit drink" means a drink manufactured and
29 packaged or sold by a mixed spirit drink manufacturer or sold by an



1 outstate seller of mixed spirit drink to a wholesaler that meets
2 ~~either~~**any** of the following conditions:

3 (a) Contains 10% or less alcohol by volume consisting of
4 spirits mixed with nonalcoholic beverages or flavoring or coloring
5 materials and that may also contain 1 or more of the following:

6 (i) Water.

7 (ii) Fruit juices.

8 (iii) Fruit adjuncts.

9 (iv) Sugar.

10 (v) Carbon dioxide.

11 (vi) Preservatives.

12 (b) Meets both of the following conditions:

13 (i) Contains more than 10% and not more than 13.5% alcohol by
14 volume consisting of spirits mixed with nonalcoholic beverages and
15 flavoring or coloring materials and that may also contain 1 or more
16 ingredients listed in subdivision (a).

17 (ii) Is filled in a metal container that meets all of the
18 following conditions:

19 (A) The container has the general shape and design of a can
20 that has a liquid capacity that does not exceed 24 ounces.

21 (B) The container has a closure that is an integral part of
22 the container.

23 (C) The container cannot be readily closed after opening.

24 **(c) Meets both of the following conditions:**

25 **(i) Contains more than 13.5% and not more than 21% alcohol by**
26 **volume consisting of spirits mixed with nonalcoholic beverages and**
27 **flavoring or coloring materials and that may also contain 1 or more**
28 **ingredients listed in subdivision (a).**

29 **(ii) Is filled in a metal container that meets all of the**



1 following conditions:

2 (A) The container has the general shape and design of a can
3 that has a liquid capacity of more than 200ml and does not exceed
4 24 ounces.

5 (B) The container has a closure that is an integral part of
6 the container.

7 (C) The container cannot be readily closed after opening.

8 (8) "Mixed spirit drink manufacturer" means a person licensed
9 under this act to manufacture mixed spirit drink in this state and
10 to sell mixed spirit drink at retail in accordance with section
11 537, or to a wholesaler, or to a retailer as provided in section
12 203b. For purposes of rules promulgated by the commission, a mixed
13 spirit drink manufacturer is treated as a wine manufacturer but is
14 subject to the rules applicable to spirits for manufacturing and
15 labeling.

16 (9) "Mixed wine drink" means a drink or similar product
17 marketed as a wine cooler that contains less than 7% alcohol by
18 volume, consists of wine and plain, sparkling, or carbonated water,
19 and contains any 1 or more of the following:

20 (a) Nonalcoholic beverages.

21 (b) Flavoring.

22 (c) Coloring materials.

23 (d) Fruit juices.

24 (e) Fruit adjuncts.

25 (f) Sugar.

26 (g) Carbon dioxide.

27 (h) Preservatives.

28 (10) "Outstate self-distributor" means a person located in
29 another state that is the substantial equivalent of a micro brewer,



1 small distiller, mixed spirit drink manufacturer, or small wine
2 maker licensed by the commission to sell alcoholic liquor that the
3 person manufactured outside this state directly to a retailer under
4 sections 203(20), 203a, and 203b in accordance with rules
5 promulgated by the commission. An applicant for an outstate self-
6 distributor license must submit a copy of its federal basic permit
7 or brewer's notice and its manufacturing license from the state of
8 issuance.

9 (11) "Outstate seller of beer" means a person licensed by the
10 commission to sell beer that has not been manufactured in this
11 state, or beer that the person purchased from a limited production
12 manufacturer, to a wholesaler in this state in accordance with
13 rules promulgated by the commission. As used in this subsection,
14 "limited production manufacturer" means a person licensed under
15 section 504.

16 (12) "Outstate seller of mixed spirit drink" means a person
17 licensed by the commission to sell mixed spirit drink that has not
18 been manufactured in this state to a wholesaler in this state in
19 accordance with rules promulgated by the commission. For purposes
20 of rules promulgated by the commission, an outstate seller of mixed
21 spirit drink is treated as an outstate seller of wine but is
22 subject to the rules applicable to spirits for manufacturing and
23 labeling.

24 (13) "Outstate seller of wine" means a person licensed by the
25 commission to sell wine that has not been manufactured in this
26 state to a wholesaler in this state in accordance with rules
27 promulgated by the commission and to sell sacramental wine as
28 provided in section 301.

